

PSBV110NAMB – Applied Business Valuation
Master in Finance program, core course
(Q2 2024/2025)

Course leader:	Peter JUHASZ, PhD, CFA
Lecturer(s):	
Department:	Department of Finance
Office hours:	TBA
Availability:	Phone number:
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Course type:	core
Prerequisites:	none
Credits:	12 ECTS
Number of hours per quarter	Total of lectures: 24 hours Total of seminars: 24 hours Total of exam: 2 hours Grand total: 50 hours
Time of class:	Monday 15:30-17:00 and Tuesday 13:40-15:10 (Lectures), Monday 17:20-18:50 and Tuesday 15:30-17:00 (Seminars Group 1) or Tuesday 15:30-18:50 (Seminars Group 2)
Venue:	See Neptune system

Aims and objectives, and description of the course:

The course aims to offer an introduction to basic approaches and methods of business valuation. The classes will cover each technique's limitations and critical challenges, and participants may understand the income- (cash flow-) based, multiple-based and asset-based approaches as well. In addition, we will review the process of financial analysis, planning, and estimating the cost of capital, as well as deal with estimating a price range for M&As and applying discounts and premiums. The ultimate aim of the course is to make the students understand the process of solving daily valuation tasks.

Learning outcomes:

By the end of the course, participants will

- be able to use the basic toolset of business valuation,
- know the methods of financial statement analysis and prediction,
- be capable of estimating the cost of capital for a firm or project,
- be familiar with the unique challenges of the different valuation tasks,
- can identify critical mistakes in a valuation report.

Course description

Students will review key business valuation issues during the classes using real-life examples and case studies while working on their laptops using Microsoft Excel products.

Methodology to be used:

We use the flipped classroom methodology. Instead of covering theoretical information in detail during class, students must find and read relevant materials from the sources provided (books, articles, video lectures) on their own before the sessions. Classroom case solving will randomly control their preparedness. Lectures will highlight critical issues when using the theory in practice, while seminars will focus on solving valuation tasks in Excel.

Detailed class schedule, Q2 1st – 7th week:

Weeks	Topics to be discussed	Readings (recommended)
Week 1	Introduction to business valuation, Value vs price Financial planning and cash flow calculation	V 1-7 (I 1-2) V 8-11, 25-26, 29 (I 3, 9-11, 31-33)
Week 2	Cash flow-based valuation methods Calculating the terminal value	V 12, 14, 17 (I 13-15) (I 12)
Week 3	Estimating the cost of capital Special challenges of the DCF methods	V 13 (I 4, 7-8)
Week 4	Multiple-based methods Asset-based methods	I 17-20 (V 19-20) (I 26-27)
Week 5	Preparing Equity Research Reports Discounts & Premiums Mergers & Acquisitions	V 14 (I 16) (V 27-28) (I 25)
Week 6	Valuation for Private Equity 1 st exam	
Week 7	Valuation for the Financial Service Sector Summary (group presentations)	(V 23, 31-33) (I 22-24, 30)

V: Koller, Tim – Goedhart, Marc – Wessels, David (2020): Valuation: Measuring and Managing the Value of Companies (Wiley Finance) 7th Edition, Wiley, Obligatory: Chapters 1-17

I: Damodaran, Aswath (2012): Investment Valuation: Tools and Techniques for Determining the Value of Any Asset, 3rd Edition, Wiley, Obligatory: Chapters 17-20

Assignments: Students are required to read relevant theoretical materials before each class and solve home assignments. During the quarter, students will also work in teams to prepare a sell-side equity research report on a company the tutor chose. Papers will be presented in 10-minute presentations followed by a 10-minute Q&A session during the last week. Team members can allocate the points received by the group among themselves. If no allocation is provided by the deadline announced, all members will receive the same number of points. Extra points may be received for asking relevant questions from other teams.

Assessment, grading:

Students **earn** grades based on their class attendance, class participation, achievements in the assignments (group or otherwise), quizzes, homework, and midterm and final exams (where applicable). If the student completes at least one of the course tasks in whole or in part, the subject can only be closed with a grade.

Grades are not negotiable. Any attempt at negotiation may potentially result in official disciplinary action.

100% final exam

Students must collect at least half the maximum score on the Final Exam to receive a non-fail final mark.

If any part of a home assignment of two students is a close match, the whole home assignment can not earn them more than 0 points. If someone is involved in a similar case twice or more than one part of the home assignment is a close match, the student can not receive points for non-exam performance and thus will fail the course.

Class attendance:

Class attendance is mandatory. **Participation in lectures** is an important part of the process and understanding of the subject, and tutors have the right to make a so-called 'positive attendance sheet'. Based on the 'positive attendance sheet' the tutor can give 5% extra points beyond all the points obtainable for the final grade. **Attendance of the seminars is compulsory.** The acceptable level of absence is $\frac{1}{4}$ of all lessons (i.e. 3 seminars). **In exceptional cases** (hospital treatment, permanent illness) provided that the total absence is less than 50%, the tutor can (if he/she so decides) allow a supplement.

The examinations will be spaced out during the official examination period. However, the first examination (considering the foreign exchange students) will be held during the first week of the final examination period. Students returning home before the end of the official examination period do so at their own risk, as no special consideration shall be given in such cases.

Compulsory reading:

Koller, Tim – Goedhart, Marc – Wessels, David (2020): Valuation: Measuring and Managing the Value of Companies (Wiley Finance) 7th Edition (or later), Wiley, **Chapters 1-17**

Damodaran, Aswath (2012): Investment Valuation: Tools and Techniques for Determining the Value of Any Asset, 3rd Edition (or later), Wiley, **Chapters 17-20**

Recommended readings:

Koller, Tim – Goedhart, Marc – Wessels, David (2020): Valuation: Measuring and Managing the Value of Companies (Wiley Finance) 7th Edition, Wiley

Damodaran, Aswath (2012): Investment Valuation: Tools and Techniques for Determining the Value of Any Asset, 3rd Edition, Wiley

Damodaran, Aswath (2018): The Dark Side of Valuation: Valuing Young, Distressed, and Complex Businesses, 3rd Edition, Pearson FT Press

Pratt, Shannon P. (2008): Valuing a Business: The Analysis and Appraisal of Closely Held Companies (McGraw-Hill Library of Investment and Finance), 5th Edition, McGraw-Hill Education

Grading:

Hungarian and ECTS grading scale

<i>Percentage achieved</i>	<i>Hungarian grade</i>	<i>ECTS equivalent</i>	<i>Explanation for the Hungarian grade</i>
87-100	5	A	Excellent
75-86	4	B	Good
63-74	3	C	Satisfactory
51-62	2	D	Pass
0-50	1	F	Fail
	Nem jelent meg	DNA	Did not attend (no credit)
	Nem vizsgázott	I	Incomplete (no credit)